

NVIDIA Corporation (NASDAQ: NVDA)

Equity Research & Valuation

Rating	HOLD / Neutral
Current price	\$224.15 (September 9, 2026)
DCF base case	~\$165
DCF range (sensitivity)	~\$131 - \$257
Comparable companies	~\$277-\$500 (NVIDIA trades below peers)

Investment thesis in brief

- **Exceptional operating performance** — ~65% revenue growth in FY2026, ~60% operating margin, ~45% free-cash-flow margin, and a net-cash balance sheet.
- **DCF says modestly expensive** — the base case (~\$165) sits about 26% below the market price on my cash-flow assumptions, and the terminal value is ~77% of the total, so it rests heavily on the long run.
- **Comps say the opposite** — NVIDIA trades at *lower* P/E and EV/EBITDA multiples than every AI-chip peer (AMD, Broadcom, Marvell), despite higher growth and margins. This likely reflects the market already pricing in some normalization of NVIDIA's exceptional growth — but on a relative basis it still looks reasonably valued, not expensive.
- **Verdict: Hold** — a great business at a full-but-defensible price. The two valuation methods disagree, which is the real signal: the outcome depends on assumptions (AI demand durability, competition, export policy) that could break either way, and there's limited margin of safety for a new buyer.

Key Takeaways

- Revenue grew from about **\$27B (FY2022) to \$216B (FY2026)**, driven almost entirely by the Data Center / AI segment.
- FY2026 operating margin was approximately **60%**, up from ~21% in FY2023.
- FY2026 free cash flow reached approximately **\$97B** (~45% FCF margin).
- The DCF base case (~\$165) sits **below** the current share price (~\$224), implying the market prices in years of continued strong execution.
- Relative valuation suggests NVIDIA is **more reasonably valued than its AI-chip peers**, trading at a lower forward P/E despite better fundamentals.
- The resulting investment view is **Hold** — strong fundamentals offset by meaningful valuation uncertainty.

Educational project — not professional investment advice. All financial data is from NVIDIA's 10-K filings (fiscal years end in late January; FY2026 ended January 25, 2026). Share price and peer multiples are a snapshot as of September 9, 2026, entered manually rather than pulled from a live feed.

1. Executive Summary

NVIDIA designs the graphics processing units (GPUs) and computing platforms that power most of the world's artificial-intelligence training and inference. Over the last three years it has gone from a large chip company into the central supplier of AI infrastructure, and the financials show it: revenue grew from about **\$27B in FY2023 to about \$216B in FY2026**, and the most recent trailing-twelve-month figure is already near **\$303B**.

Profitability is unusually high for a hardware company. In FY2026 NVIDIA earned a **~60% operating margin** and a **~45% free-cash-flow margin**, producing roughly **\$120B of net income** and **\$97B of free cash flow**. The balance sheet is strong — about **\$63B in cash and investments against only ~\$11B of debt**, a net cash position of roughly **\$51B**.

The investment question is not whether NVIDIA is a good business — it clearly is — but whether the current price already reflects that. My 5-year DCF base case implies about **\$165 per share**, roughly 26% below the market price. However, the model is very sensitive to assumptions: across a reasonable range of discount rates and terminal-growth rates, the implied value ranges from about **\$131 to \$257**, which straddles the market price.

The comparable-company analysis points the *other* way. NVIDIA actually trades at **lower** valuation multiples than its fast-growing AI-chip peers — a forward P/E around 19x versus 24–50x for AMD, Broadcom and Marvell — despite having the best growth and margins of the group. On a relative basis, that makes NVIDIA look reasonably valued to cheap, not expensive.

Putting these together, I rate NVIDIA a **Hold / Neutral**: an exceptional company whose two valuation lenses disagree — the DCF says modestly expensive, the comps say modestly cheap. That disagreement, plus heavy assumption-sensitivity, is exactly why I don't force a Buy or Sell. The upside depends on AI demand staying strong for years; the downside comes from competition, customer concentration, export restrictions, and the semiconductor cycle.

2. Company Overview

NVIDIA sells accelerated-computing hardware and software. Its business is reported in two segments, but the story is dominated by one of them:

- **Compute & Networking (Data Center)** — AI accelerators (the H100, H200, Blackwell and now Rubin generations) plus networking gear (NVLink, InfiniBand, Ethernet). This is the growth engine. Data Center revenue was about **\$115B in FY2025** and kept growing through FY2026. Its customers are large cloud providers (AWS, Microsoft, Google, Oracle), AI labs, and enterprises.
- **Graphics** — GeForce gaming GPUs, professional visualization, and automotive. This was historically the core business and is still meaningful (~\$22B in FY2026), but it is now the smaller segment.

Why NVIDIA wins. Its advantage is not only fast chips. The **CUDA** software platform, built up over more than 15 years, means most AI research and production code is written for NVIDIA hardware. Switching to a competitor means rewriting software, which keeps customers locked in. NVIDIA also ships complete systems (chips, networking, and software together), which is hard for rivals to match.

Main growth drivers: the build-out of AI data centers by cloud providers and enterprises; each new chip generation (Blackwell, then Rubin) commanding high prices; the shift from AI *training* to always-on *inference*, which expands the long-run market; and networking, which grows alongside GPU deployments.

Business model note. NVIDIA is *fabless* — it designs chips and outsources manufacturing (mainly to TSMC). That is why capital expenditure is low (~3% of revenue) and margins and free cash flow are so high.

3. Industry & Competitive Position

NVIDIA operates in the AI-accelerator and data-center-semiconductor market, which has grown extraordinarily fast as companies invest in AI. Its position is dominant but not unchallenged:

- **AMD** is the closest direct competitor with its Instinct GPU line. It is growing quickly (data-center revenue more than doubling year-over-year in 2026) but is still far smaller in AI accelerators and lacks CUDA's software moat.
- **Broadcom** and **Marvell** design *custom* AI silicon (ASICs) for large cloud customers. They compete for the same AI-infrastructure budgets, especially where a hyperscaler wants its own chip rather than a general-purpose GPU.
- **Intel** is worth noting as a contrast: a legacy CPU incumbent that has struggled to gain AI-accelerator share and grows slowly. (I leave it out of the valuation comps in Section 7, since its near-zero/negative margins make P/E and EV/EBITDA multiples meaningless for benchmarking.)

The key competitive risk is not that NVIDIA loses its lead soon, but that (a) custom silicon from cloud providers chips away at demand, and (b) NVIDIA's biggest customers are a handful of hyperscalers, so their spending decisions swing results.

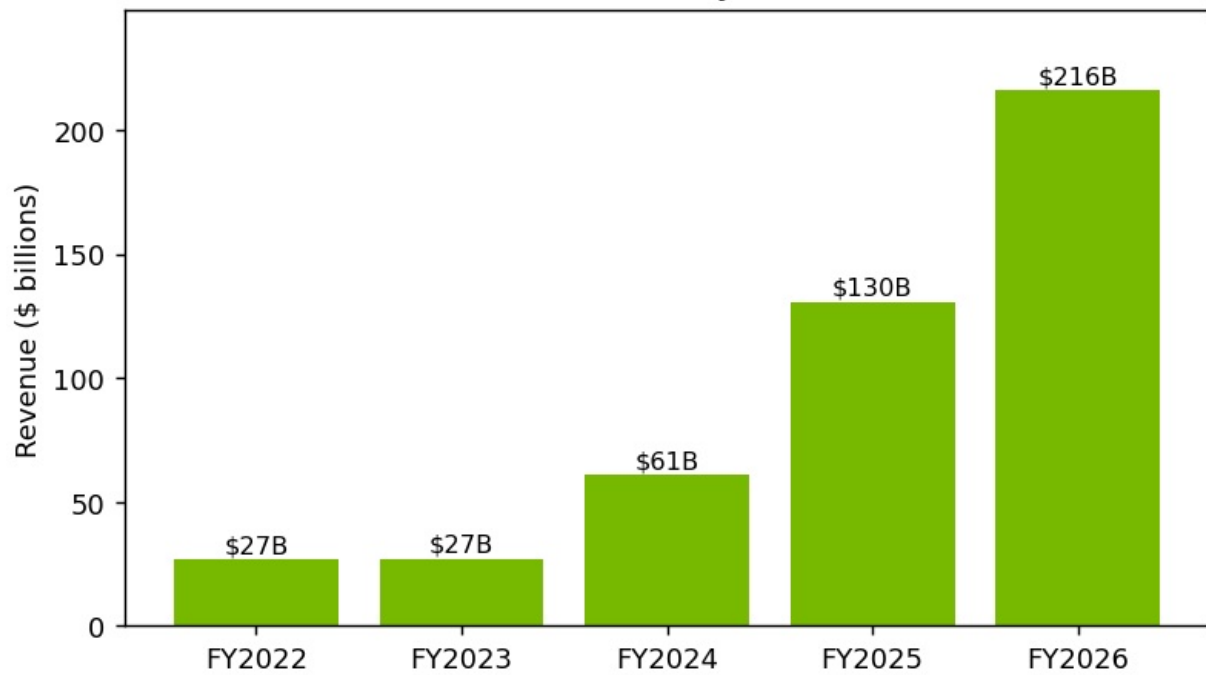
4. Historical Financial Analysis (FY2022-FY2026)

All figures in \$ millions unless noted. Source: NVIDIA 10-K filings.

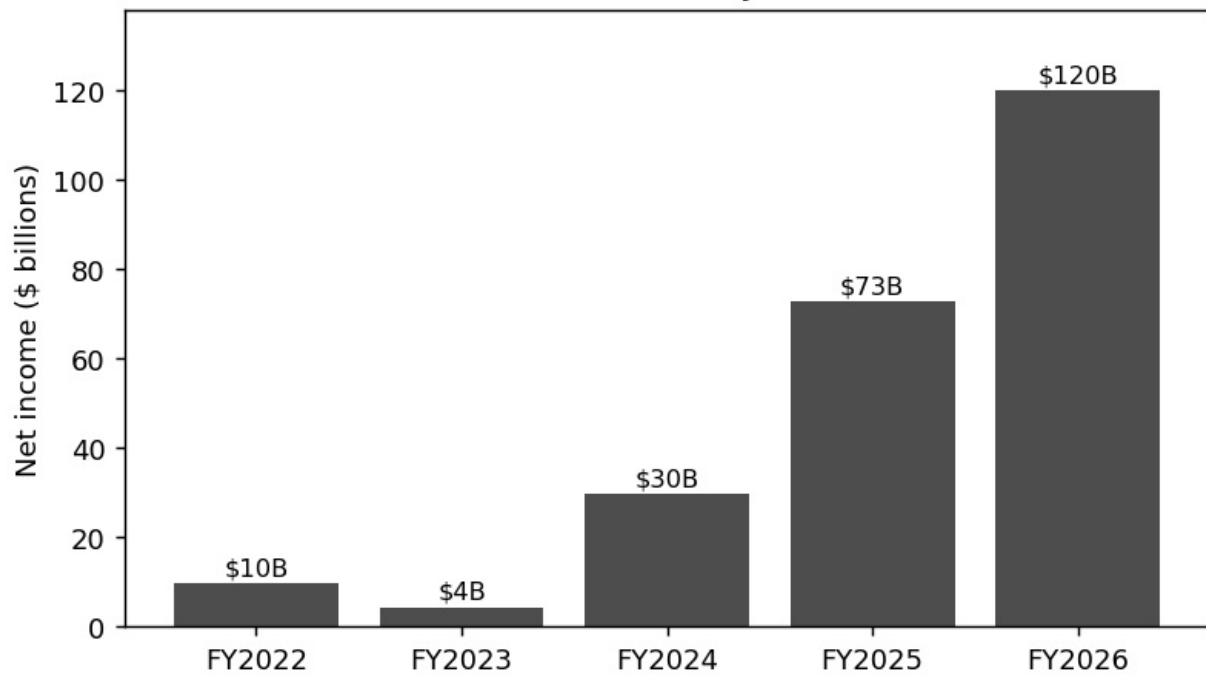
Metric	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	26,914	26,974	60,922	130,497	215,938
Gross profit	17,475	15,356	44,301	97,858	153,463
Operating income	10,041	5,577	32,972	81,453	130,387
Net income	9,752	4,368	29,760	72,880	120,067
Diluted EPS (\$)*	0.39	0.17	1.19	2.94	4.90
Revenue growth %	—	0.2%	125.9%	114.2%	65.5%
Gross margin %	64.9%	56.9%	72.7%	75.0%	71.1%
Operating margin %	37.3%	20.7%	54.1%	62.4%	60.4%
Net margin %	36.2%	16.2%	48.8%	55.8%	55.6%

*EPS is split-adjusted for the 10-for-1 stock split effective June 2024.

NVIDIA Revenue by Fiscal Year

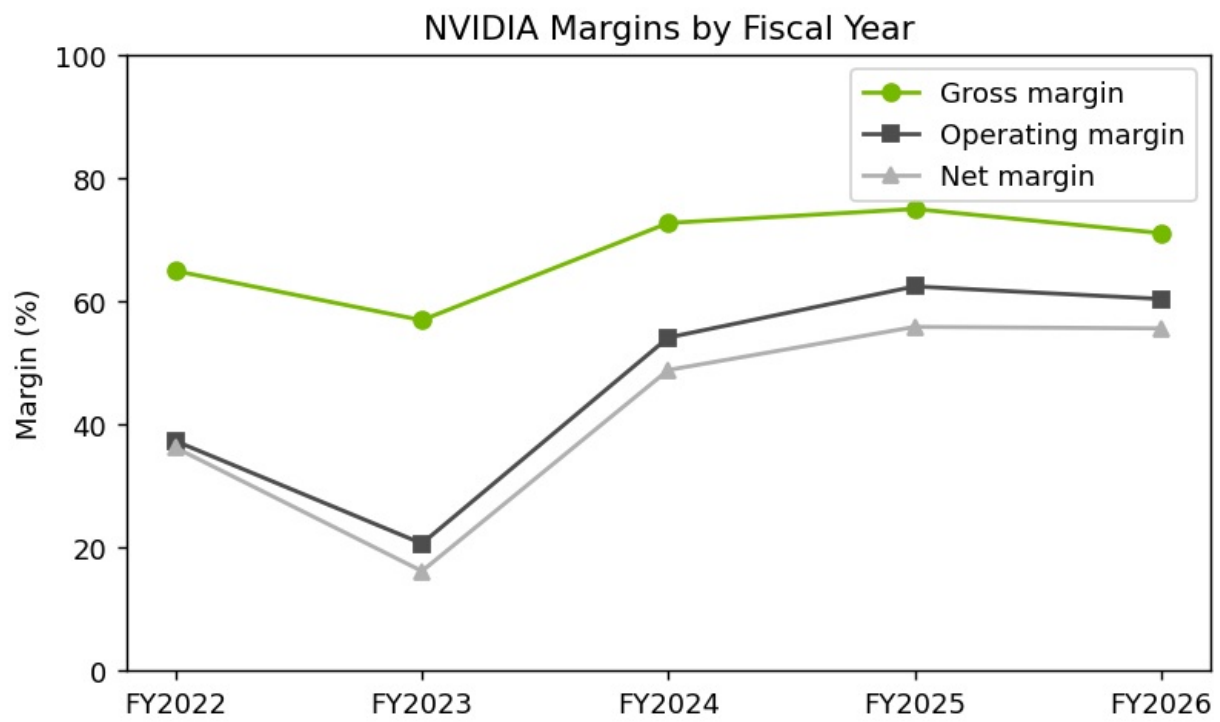


NVIDIA Net Income by Fiscal Year



What happened, in plain terms:

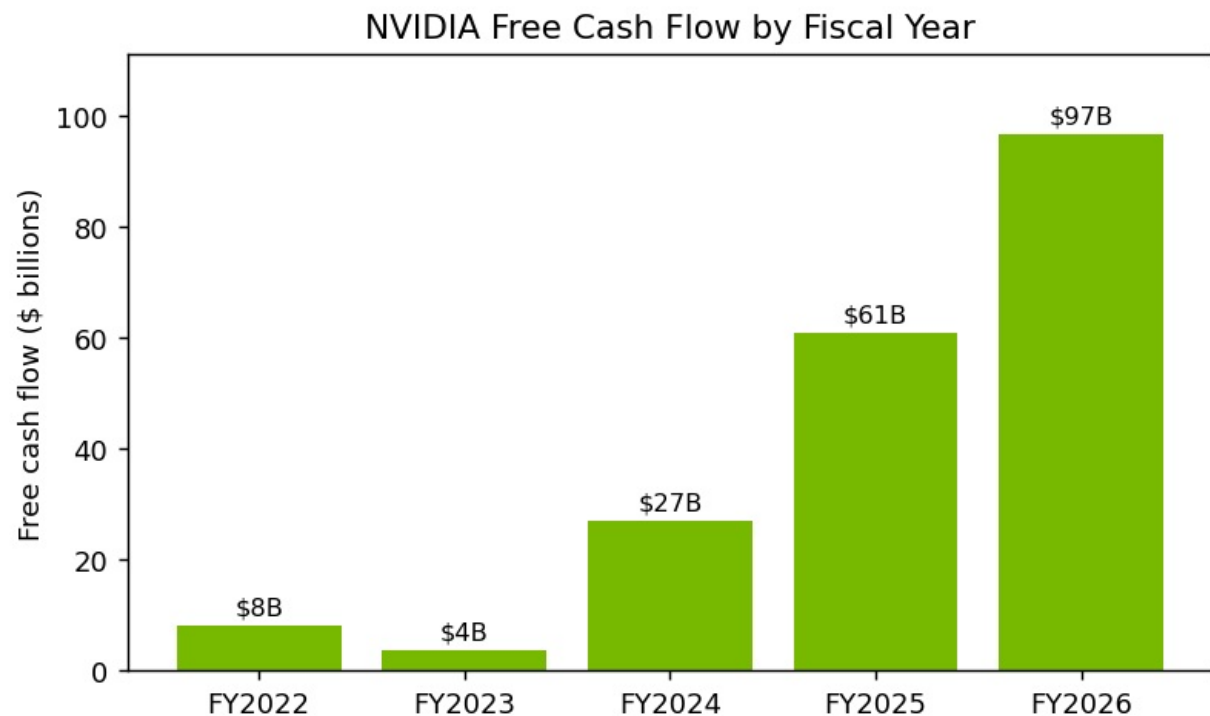
- **FY2023 was a down year.** Revenue was flat and margins fell (operating margin dropped to ~21%) because of a gaming/crypto inventory correction — demand fell and NVIDIA had to write down inventory.
- **FY2024 onward is the AI inflection.** Revenue more than doubled in FY2024 (+126%), then grew +114% (FY2025) and +65% (FY2026). This was almost entirely Data Center: cloud providers and AI labs bought GPUs as fast as NVIDIA could make them.
- **Margins expanded sharply** as the mix shifted to high-margin data-center products. Operating margin went from ~21% (FY2023) to ~60%+ (FY2025-26).
- **The small FY2026 gross-margin dip** (75% → 71%) is explained: a one-time **\$4.5B charge in Q1 FY2026** for excess H20 inventory after the U.S. government required export licenses for those China-bound chips. Excluding that single quarter, margins were still expanding through the year.



5. Profitability & Cash Flow Analysis

Metric (\$M)	FY2022	FY2023	FY2024	FY2025	FY2026
Operating cash flow	9,108	5,641	28,090	64,089	102,718
Capex	976	1,833	1,069	3,236	6,042
Free cash flow	8,132	3,808	27,021	60,853	96,676
FCF margin %	30.2%	14.1%	44.4%	46.6%	44.8%

Free cash flow = operating cash flow – capex.



NVIDIA's earnings turn into cash very efficiently. FY2026 free cash flow of ~\$97B against net income of ~\$120B is strong cash conversion, and the ~45% FCF margin is remarkable for a hardware company. Because NVIDIA is fabless, capex stays around 3% of revenue even as the business scales — it doesn't need to build factories.

Balance sheet strength (FY2026): total assets ~\$207B, total liabilities ~\$81B, total equity ~\$126B.

Item (\$M)	FY2024	FY2025	FY2026
Cash & investments	25,984	43,210	62,556
Total debt	11,056	9,982	11,412
Net cash	14,928	33,228	51,144

Total equity	42,978	79,327	125,608
Debt-to-equity	0.26	0.13	0.09

NVIDIA holds far more cash and investments than debt, giving it a large net-cash buffer and very low leverage (debt-to-equity ~0.09). It could fund growth, buy back stock (it returned ~\$37B to shareholders in the first nine months of FY2026), or withstand a downturn without financial stress. In short: the balance sheet is a source of strength, not a risk.

6. DCF Valuation

Methodology. A discounted cash flow model estimates a company's value as the present value of the cash it will generate in the future. I forecast free cash flow to the firm for five years, discount each year back to today at the company's cost of capital (WACC), add a terminal value for everything beyond year five, and convert enterprise value into a per-share price.

The steps:

- Forecast revenue using a declining growth path.
- Apply an operating margin → operating income (EBIT).
- Tax it → NOPAT; add back D&A; subtract capex and incremental working capital → **free cash flow**.
- Discount each year's FCF at the WACC and sum them.
- Add the present value of the **terminal value** (Gordon growth method) → **enterprise value**.
- Equity value = enterprise value + net cash; implied price = equity value ÷ shares.**

Base-case assumptions and why:

Assumption	Value	Reasoning
Year-1 revenue growth	45%	Well below recent 65%+ but still very strong; growth this large can't persist indefinitely.
Growth path (Yr 1-5)	45% → 32% → 24% → 18% → 12%	Declining each year as the base gets huge and the law of large numbers takes hold.
Operating margin	60%	In line with FY2025–26 actuals; assumes margins hold, not expand.
Tax rate	15%	Near NVIDIA's recent effective rate.
D&A	2% of revenue	Consistent with a fabless, asset-light model.
Capex	3% of revenue	Consistent with recent capex intensity.
Incremental working capital	3% of Δrevenue	Small, typical for this business.
WACC	10%	Reasonable for a large, profitable but volatile tech company (see note).
Terminal growth	3%	Roughly long-run nominal GDP; conservative for a perpetuity.
Net cash	\$51,144M	FY2026 cash & investments – total debt.
Shares outstanding	24,500M	FY2026 diluted shares.

A note on WACC. WACC is the blended return investors require. For a company like NVIDIA — mostly equity-financed, with a high but volatile growth profile — something in the **9–11%** range is defensible. Rather than over-engineer a single number, I use **10%** as the base case and test the whole range in the sensitivity analysis, which is where it matters most.

Base-case result:

Output	Value
Sum of PV of forecast FCF	~\$912,000M
PV of terminal value	~\$3,074,000M
Enterprise value	~\$3,986,000M
+ Net cash	~\$51,000M
Equity value	~\$4,037,000M
÷ Shares (M)	24,500
Implied share price	~\$165
Current price	\$224.15
Implied upside/(downside)	~(26%)

Important caveat: the terminal value is about **77% of enterprise value**. That means most of the estimated value depends on what happens *after* year five — a number no one can forecast precisely. This is normal for a fast-growing company, but it means the base case is a starting point, not a verdict. The sensitivity analysis below is the more honest picture.

7. Comparable Company Valuation

Comparable-company analysis values NVIDIA by looking at how the market prices similar businesses. I use three AI-chip peers — **AMD** (the closest GPU competitor), **Broadcom** and **Marvell** (custom AI silicon) — and compare them on the multiples investors actually use. All figures are a snapshot from stockanalysis.com / S&P Global as of early September 2026.

Company	Trailing P/E	Forward P/E	EV/EBITDA	Rev growth	Op margin
NVIDIA (NVDA)	29.1x	19.1x	27.5x	~83%	~65%
AMD	120.8x	42.6x	79.9x	~40%	~20%
Broadcom (AVGO)	61.8x	23.6x	43.1x	~45%	~45%

Marvell (MRVL)	79.2x	50.2x	74.7x	~45%	~17%
Peer median	79.2x	42.6x	74.7x	—	—

The striking finding: NVIDIA has the **highest growth and the highest margins** of the group, yet trades at the **lowest multiple on every measure**. Its forward P/E of ~19x is less than half the peer median of ~43x, and below even the cheapest peer (Broadcom at ~24x). This is worth interpreting rather than just noting: the most likely explanation is that the market is already pricing in some **normalization** of NVIDIA's exceptional growth — investors are paying up for peers' *future* growth while assuming NVIDIA's cannot stay this high forever. So the low multiple is not a free lunch; it is the market's way of saying NVIDIA's growth is closer to its peak.

Which multiple is most useful, and a caution. For a company like NVIDIA I lean on **forward P/E**. Trailing P/E is misleading here: peers like AMD (121x) and Marvell (79x) trade at enormous trailing multiples because their *current* earnings are small relative to the AI growth investors expect. NVIDIA already earns at huge scale, so mechanically multiplying its large earnings by peers' inflated trailing multiples would produce a nonsense number (well over \$600/share). Forward P/E puts every company on next-year earnings and is the fairest comparison.

Implied valuation. Applying peer forward P/E multiples to NVIDIA's forward EPS (~\$11.7, implied by its current price and ~19x forward multiple):

- At the **cheapest peer's** 23.6x (Broadcom): **~\$277**
- At the **peer median** 42.6x: **~\$500**

Because NVIDIA has already *realised* much of the growth its peers are only promising, I anchor toward the conservative low end (~\$277) rather than the median. Even that conservative figure sits **above** today's price and **above** the DCF.

Why do the DCF and comps disagree? They answer different questions. The DCF asks "what are NVIDIA's own modelled future cash flows worth?" and, with a 77%-terminal- value structure and a 10% discount rate, it lands below the market. Comps ask "what is the market paying for similar companies right now?" and, because peers are priced so richly, NVIDIA looks cheap beside them. Neither is "the" answer — holding both in view is more honest than pretending one number is correct.

8. Sensitivity Analysis

The single most important thing to understand about valuing NVIDIA is how much the answer moves with the assumptions. The table below shows the implied share price across different **WACC** and **terminal growth** combinations (base-case growth and margins):

WACC ↓ / Terminal growth →	2.0%	2.5%	3.0%	3.5%
8.0%	\$200	\$216	\$234	\$257
9.0%	\$170	\$181	\$194	\$208
10.0%	\$148	\$156	\$165	\$175
11.0%	\$131	\$137	\$143	\$151

The implied price ranges from about **\$131 to \$257** — a range that *straddles* the \$224 market price. At an 8% discount rate the stock looks fair to slightly cheap; at 10–11% it looks expensive. In the words a report like this usually uses: *the sensitivity analysis shows how dependent the valuation is on changes in the key assumptions*. For NVIDIA, that dependence is unusually strong, which is why I don't treat any single DCF number as decisive.

9. Investment Thesis

Bull case

- **AI infrastructure demand** is still early; cloud providers and enterprises keep raising capital-expenditure budgets for AI, and NVIDIA captures the largest share.
- **Data Center growth** continues with each new generation (Blackwell → Rubin) commanding premium pricing.
- **CUDA software moat** keeps customers locked to NVIDIA hardware; switching costs are high.
- **Pricing power and margins** — ~60% operating margins show NVIDIA is not competing on price, and the fabless model keeps it capital-light.

Bear case

- **High valuation** — at ~28x trailing earnings the price already assumes years of strong execution; disappointment could de-rate the stock quickly.
- **Competition** from AMD's GPUs and custom silicon from Broadcom/Marvell (and the hyperscalers' own chips) could erode share or pricing.
- **Customer concentration** — a handful of large cloud customers drive most Data Center revenue; if they slow spending, results swing.
- **Export restrictions / regulation** — U.S.–China export rules already cost NVIDIA a \$4.5B charge and lost China revenue; further restrictions are a live risk.
- **AI spending cycle** — if AI investment pauses or proves overbuilt, demand could fall sharply, as semiconductors are historically cyclical.

Key catalysts (next 12-18 months)

- Rubin-generation launch and its pricing/margins.
- Quarterly Data Center revenue vs. very high expectations.
- Any change (loosening or tightening) in China export policy.
- Signs of hyperscaler capex accelerating or slowing.
- Competitive traction (or lack of it) from AMD and custom-silicon programs.

Key risks

- Valuation de-rating if growth slows.
- Loss of share to competitors or in-house customer chips.
- Regulatory / export shocks.
- A broad slowdown in AI capital spending.
- Concentration in a few very large customers.

10. Final Investment View

Recommendation: HOLD / Neutral.

NVIDIA is one of the strongest businesses in the market: extraordinary revenue growth, ~60% operating margins, ~45% free-cash-flow margins, a dominant software ecosystem, and a net-cash balance sheet. If AI demand stays strong for several more years, today's price can be justified and the stock can keep working.

But the two valuation methods genuinely disagree, and that disagreement is the heart of the call. The DCF base case implies about \$165 — roughly 26% *below* the market — and its sensitivity range (\$131-\$257) straddles the current price. The comparable-company analysis points the opposite way: NVIDIA trades at lower multiples than every AI-chip peer, implying a value *above* today's price (~\$277 even at the most conservative peer multiple). So one lens says modestly expensive, the other says modestly cheap. That is not a contradiction to paper over — it reflects real uncertainty: the DCF is assumption-heavy (77% terminal value), and the comps depend on peers priced for years of future growth. I did **not** follow the DCF blindly to a "Sell," because a single assumption-heavy model shouldn't override a business of this quality *and* the relative valuation is actually favorable; equally, I can't call it a "Buy" when the cash-flow model centers below the market and there's little margin of safety.

For a long-term investor who already owns it, holding is reasonable. For a new buyer, I'd want either a lower entry price or more evidence that AI demand and margins will stay elevated well beyond the forecast window.

This is an educational equity research project and not professional investment advice. It is not a recommendation to buy or sell any security.

11. Sources / References

- NVIDIA Corporation, Form 10-K filings, FY2022-FY2026 (SEC EDGAR).
- NVIDIA quarterly earnings press releases and CFO commentary (investor.nvidia.com), Q4/FY2025 and Q4/FY2026.
- StockAnalysis.com — NVIDIA financial statements overview and current share price (\$224.15 as of September 9, 2026).
- AMD, Broadcom, and Marvell public filings and earnings releases (2026) for peer context.

Fiscal-year note: NVIDIA's fiscal year ends in late January; e.g., FY2026 ended January 25, 2026. Per-share figures reflect the 10-for-1 stock split effective June 2024.